

Atchíson

The background of the entire page is a photograph of an ice cave. In the upper right, a jellyfish is visible in a pool of water. In the lower left, a person stands on a rocky path, shining a flashlight into the distance. The cave walls are covered in ice and snow, with a bright light source at the end of the path.

May 2025



Monthly Market Update

Illuminating
the way forward



Key Events in May 2025

Rate cuts and strong equities buoyed May amid persistent inflation and tariff risks.

- The Australian share market rose for the second consecutive month despite President Trump flipping on tariff plans. The Australian share market rallied +4.2% in May, its best month since January, supported by defensive consumer and utilities stocks. While US S&P 500 rose +6.2%, its best monthly performance since November 2023.
- Australian consumer and business confidence showed a slight lift in consumer confidence (although it's still negative) and a small rise in business confidence (but its negative too!). Business conditions also deteriorated, which isn't great for business investment.
- Labour market conditions remain strong in Australia. The April jobs data surprised by rising 89K. The unemployment rate was unchanged at 4.1% (and is still above its 3.5% low).
- As widely predicted, on May 20, the Reserve Bank of Australia (RBA) lowered rates to a level not seen since mid-2023, cutting the rate by 0.25% to 3.85%. Looking ahead, there is an expectation more cuts by year end could lower the rate to a low of 2% to stimulate consumer spending.
- Australian home building approvals fell 9% in March mainly driven by volatile units and Victoria. While the trend is still up, approvals running around 195,000 annualised are well below the 240,000 annual home building targets.
- Macroeconomic risk for shares remains high. US tariffs may be down from their highs but are still five times last year's levels. They are still likely to go higher for some countries and sectors as Trump reminded us all.
- As expected, the Reserve Bank of New Zealand cut its cash rate from 3.5% to 3.25%, citing weaker demand and inflation, and spare capacity. Its guidance was mixed but it lowered its expected terminal cash rate to 2.9% from 3.1%.
- US share market is back in positive territory for the year and just 3.6% off the all-time high recorded on February 19. Whilst Australian share market sits just 2.5% below its February record with a 12-month forward PE of 18.4 times, among the most expensive levels in the last 40 years.
- US lost its Moody's 'Aaa credit rating' status due to concerns over its US\$36 trillion debt pile. The move sent ripples through financial markets and could complicate President Trump's efforts to cut taxes.
- Bank of England (BoE) cut the base rate by 0.25% to 4.25% and revised down its inflation forecasts. The Bank signalled "gradual and cautious" cuts, with the next cut likely in August.
- German unemployment rose again in May highlighting ongoing weakness in the German economy. Fortunately, the rest of Europe has been stronger resulting in stable unemployment, German fiscal stimulus is on the way.
- Chinese retail sales, industrial production and investment were softer than expected but the trend in growth remains slightly up. Property investment continues to fall at a 10% year-on-year (yoy) pace.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 31 May 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	4.2	4.4	13.2	9.5	11.9	7.9
Australian Small Companies	4.9	2.3	8.1	3.7	6.1	6.0
International Shares (Unhedged)	5.2	-1.6	17.5	17.5	15.0	12.0
International Shares (Hedged)	6.3	1.3	12.4	11.8	13.2	9.5
Emerging Markets (Unhedged)	4.5	2.9	19.0	8.3	6.9	4.7
Australian Property Securities	2.5	6.7	19.6	8.1	10.0	7.6
Global Property Securities (Hedged)	2.3	-1.8	8.9	-1.5	4.4	
Global Listed Infrastructure (Hedged)	0.4	3.6	14.8			
Australian Bonds	0.0	1.7	6.5	3.0	-0.4	1.9
Global Bonds (Hedged)	-0.3	0.0	5.1	0.8	-1.3	
Cash	0.4	1.1	4.6	3.9	2.4	
Change over the month						
AUD/USD	0.31%	US\$ 0.6436				

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The RBA lowered cash rate target by 25 bps in May, the second rate cut of this cycle. The RBA seems to have grown more comfortable with inflation risk subsiding on the back of softer consumer spending and wages growth. There seems to be consensus that the overnight cash rate will fall to 3% by early 2026.

The Australian share market rose strongly in May up +4.2%, rebounding almost 18% from its April low, following the announcement of a 90-day pause in reciprocal tariffs. The gains in May were primarily driven by PE expansion, which contributed +4.2% to returns. A slight 0.4% fall in earnings per share (EPS) was balanced by an equivalent rise in dividends.

The technology sector emerged as the best performer, with an increase of +18.8%, bolstered by strong earnings updates, a resurgence in the AI trade, and rate cuts by the RBA. Life360 led the sector with a +51.9% increase. Despite a flat gold price, the gold sector also performed well (+10.5%) due to continued earnings upgrades.

On the other hand, defensive sectors struggled in line with the market rally. Utilities saw the smallest growth +0.3%, followed by Staples +1.2%, and Health +1.4%. Among cyclical groups, Consumer Services experienced the most significant fall -3.3%, driven by earnings downgrades.

Top performers in May included Technology One Ltd as their share price jumped +36.6% on the back of released half-yearly results. Pro Medicus Ltd was up +22.9% after the company reported it had signed a \$20 million, five-year contract with the University of Iowa Health Care in respect of cloud-based imaging platform. Tabcorp Holding Ltd shares rose +26.8% on the back of rumours that a Greek-based company was interested in buying Tabcorp's Max Gaming business. Web Travel Group Ltd ended the month +22.4% following full-year results.

Major losers over May included Healius Ltd -39.7%; however, after adjusting for a substantial dividend, the stock's fall was just 11.5%. Insignia down -11.4% on the announcement that Bain Capital was not going forward with its acquisition proposal. Language testing and student placement provider IDP Education Ltd share price fell -12% due to restrictive policies on foreign student enrolments in its core markets e.g. US, UK, and Australia.

The estimated price to earnings (P/E) ratio for the ASX 200 fell to 18.8x, the long-term average is 15.2x. The market has yet to fully price in short-term earnings risk.

Global Markets

Global share markets stabilised in May, with volatility declining as steep tariffs announced in April were reduced. Uncertainty around trade policy and its impact on global growth and inflation remains high, with ongoing legal challenges to the validity of some of President Trump's tariffs adding to the insecurity.

Global equity markets rose strongly in May, returning +5.2% on an unhedged basis and +6.3% on a hedged basis, while emerging markets were up +4.5% for the month, supported by de-escalating trade tensions between China and US.

The S&P 500 rose +6.2% outperforming most global peers. Growth +8.7% outperformed Value +3.2%. Small caps stocks also staged a strong rebound +5.9%, the second-best performing style, boosted by optimism that proposed tax and regulatory changes in the US budget reconciliation bill would support smaller businesses.

Emerging markets also continued to perform well in dollar terms, aided by a weaker US\$. Taiwan was up +12.5% and Korea +7.8% stood out with particularly strong gains.

European equities also performed strongly, with Europe ex-UK Index up +4.9%. Advancements in US-EU trade talks helped to alleviate fears of recession, while expectations for fiscal support and upward earnings revisions continued to underpin regional sentiment.

The UK was the weakest major performing equity market, with the FTSE All-Share rising +4.1% in May. Consumer staples, healthcare and utilities were notable laggards.

Bonds

The global outlook remains highly uncertain, as trade policy and geopolitics developments continue to follow an uneven path. The Australian bond market, as measured by the Bloomberg AusBond Composite 0+ Yr Index, rose +0.16%.

The RBA lowered the cash rate to 3.85%. Three-month bank bills were down 15 basis points (bps), to 3.73% by month end. Six-month bank bill yields ended 11bps lower at 3.77%. Australia's three-year government bond yields ended the month 1bp higher at 3.33%, while 10-year government bond yields were 9bps higher at 4.26%.

Bond yields rose in most advanced economies in May, with the largest rises in the US. US 2-year bond yields increased by 29 bps, as the tariff agreement between China and the US led investors to pare back their expectations for interest rate cuts by the US Fed. In contrast, 3-year bond yields in Australia were little changed as the more supportive communication from the RBA prevented short term yields from rising.

US 10-year bond yields rose by 25 bps, on the back of tariff cuts. However, Moody's downgraded US Government sovereign credit rating down one notch from 'Aaa to Aa1' citing rising debt and interest costs "that are significantly higher than similarly rated sovereigns".

The concerns around US fiscal sustainability have kept longer term bond yields elevated this year, with US 20-year and 30-year bond yields rising by 10-15 bps. It looks like investors are becoming increasingly concerned about deteriorating fiscal positions of governments in several advanced economies, leading to investors demanding a higher compensation for sovereign risk. It is also creating expectations that government bond supply will increase to support budget deficits, therefore placing upward pressure on yields.

The rise of long-term yields has been most prominent in Japan, with fiscal pressures rising and the Bank of Japan increasing short term rates and scaling back its purchases of Japanese bonds. Japanese pension funds are major buyers of US treasuries, and rising domestic yields could reduce demand for US Treasuries as it becomes more attractive to invest in Japan rather than offshore.

Currencies and Commodity Markets

The Australian dollar (\$A) experienced a modest appreciation against the US dollar (US\$) to around US\$0.64) and has appreciated by 4% against the US\$ since the start of this year. This appreciation reflects a broader trend of US\$ weakness driven by softer-than-expected US economic data and shifting expectations around US Federal Reserve interest rate cuts.

Oil prices remained around their lowest level in four years having fallen by almost 15% in 2025. This reflects a combination of weaker global demand and higher global production, aided by Saudi Arabia attempting to recoup market share and penalise OPEC members that have been over producing. The chief benefit of lower oil prices is reduction of inflationary pressures in the face of rising tariffs.

The Australian dollar traded between US\$0.6372 and US\$0.6436 on a close-of-day basis in May, settling down from the wild volatility experienced in April. The AU\$/US\$ averaged US\$0.6477 over the first 11 months of 2024-25, after averaging US\$0.6557 in 2023-24.



Outlook for Investment Markets

Ongoing tariff uncertainty, mounting US debt, weaker growth prospects, and the risk of current conflicts escalating if diplomacy fails could all weigh on share markets.

However, if President Trump shifts toward more market-friendly policies – such as reducing tariffs or cutting taxes – and global central banks continue easing, equity markets are likely to recover more sustainably by year end.

Globally, modest growth and falling inflation will permit most major central banks to ease rates further, led by the ECB, BoE, and the People's Bank of China. Bonds are expected to continue to provide returns slightly above current yield as growth weakens and central banks continue to cut rates. However, investors should expect some volatility in government bonds, especially in countries with higher debt levels such as the US, UK and France.

Real estate has been under pressure over past years due to concerns over financing costs and vacancy rates in the office sector and expected to remain subdued. There are pockets of attractive opportunities in industrials, multi-family housing, and healthcare.

Cash and bank deposits are expected to provide returns in the region of 4% but are likely to drop as cash rate falls.

In the short term, investors should expect markets to continue to react to sudden events and be prepared to receive more modest returns punctuated by occasional setbacks. At the portfolio level, balancing return and risk by correlation, volatility and liquidity preference remains important.



Diversification: Logical Solution to an Unpredictable Future

As we move closer to the second half of 2025, investment markets around the world are grappling with the interplay between shifting policy landscapes and evolving market conditions. The result has been fluctuation in investment portfolios and retirement savings accounts. With US policy uncertainty very high, geopolitical risk is expected to continue to dominate markets through 2025.

Whether inflation, growth or markets, move up, down or sideways, portfolio resilience needs to be built in to ensure investment objects are met or at least remain on track. Post-GFC era (2009-2020), portfolios gravitated to assets, primarily equities, which worked well in an environment of low inflation low interest rates and modest volatility.

Today, advisers and investors face both inflation and growth risks, and of course policy uncertainty. We are now encountering a regime shift, with important implications for building resilient portfolios.

A resilient portfolio should include assets with low or negative correlations to each other, each with an essential ability to outperform cash. Collectively, the assets should offer the potential to mitigate the severity of portfolio-level drawdowns. Fixed income remains the primary source of portfolio resilience in a growth downturn. However, fixed income could be supplemented with credit strategies during periods of market stress such as mortgage-backed securities, and private credit. Hedge funds are another asset class that can potentially strengthen portfolio resilience for suitable investors.

Going forward, we expect multi-strategy hedge funds to provide returns and volatility that are slightly higher than core fixed income, with little correlation.

Advisers and investors should also consider infrastructure to provide portfolio resilience especially in times of rising inflation as investors can benefit from long term contracts that often have embedded inflation protection. Gold has proven historically to be somewhat negatively correlated to equities during market volatility, geopolitical tensions and economic crisis, making it widely used hedging strategy.

Since gold is often US dollar-denominated on world markets, its price tends to exhibit an inverse relationship with the US dollar. Gold is comparatively less expensive for foreign buyers when the US dollar weakens against other major currencies, potentially increasing demand and driving up prices.

Crypto assets such as Bitcoin offer the potential to improve portfolio resilience but can make a portfolio more volatile and fragile. However, investors should be aware that crypto is not regulated like stocks or insured like real money in banks.

Finally, given the strong performance of share markets, especially the US, over the past five years, portfolios may have become overly concentrated in US dollar assets. A resilient portfolio will monitor and address market drift.

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